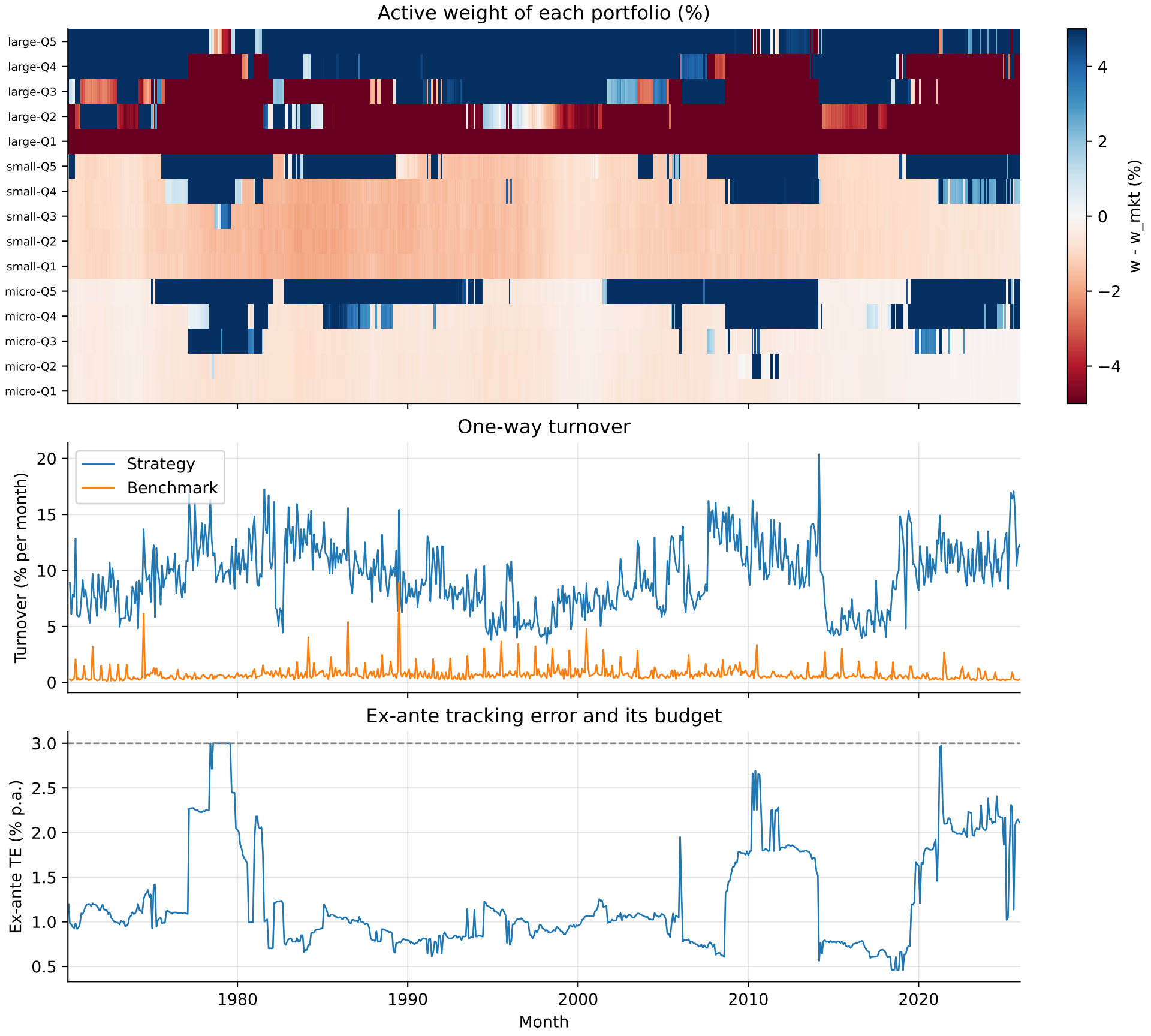

Active weight of each portfolio (%)
large-Q5
large-Q4
large-Q3
large-Q2
large-Q1
small-Q5
small-Q4
small-Q3
small-Q2
small-Q1
micro-Q5
micro-Q4
micro-Q3
micro-Q2
micro-Q1
4
2
0
−2
−4
w - w_mkt (%)
One-way turnover
Strategy
Benchmark
Turnover (% per month)
20
15
10
5
0
Ex-ante tracking error and its budget
Ex-ante TE (% p.a.)
3.0
2.5
2.0
1.5
1.0
0.5
1980
1990
2000
2010
2020
Month